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HEARD ON THE STREET

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Nvidia Clears Its Crypto Cloud

A volatile crypto market has been a distraction for the chip maker—and its investors

By Dan Gallagher

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There are better reasons to buy Nvidia shares than its cryptocurrency-related products. JUSTIN SULLIVAN/GETTY IMAGES

Nvidia NVDA **-4.13%** ▼ has long understood that the cryptocurrency business is one of easy come, easy go. But the last part still smarts a little.

The chip maker began experiencing a run on its graphics processors last year, as booming value of cryptocurrencies such as Ethereum sparked a rush to build devices to “mine” said currencies. But that demand has fallen off sharply, as specialized crypto-mining chips made their way to the market—just in time for a collapse in cryptocurrency values. Nvidia said sales of crypto-specific products totaled just \$18

million for its second fiscal quarter ended July 29, down from \$289 million in the previous period.

That colored the company's outlook issued Thursday with its second-quarter results. Nvidia projected revenue of \$3.25 billion for the third quarter, which was about 3% shy of Wall Street's estimates. The company said it now assumes no crypto-related sales going forward. Nvidia's shares slipped 4% after hours following the report, after having run up 33% this year already.

Investors should take the change in stride. Crypto was never going to be a stable long-term business for Nvidia. And its impact is small relative to the company's much larger—and better-performing—endeavors. The company's flagship gaming segment posted a 52% year-over-year jump in revenue to a record \$1.8 billion, while revenue for data centers, a far more important new business for Nvidia than crypto, surged 83%, accelerating from the previous quarter to \$760 million.

Both key segments beat Wall Street's already generous forecasts for the period. And Nvidia's outlook still projects strong double-digit growth ahead. Crypto was a nice boost while it lasted, but investors are better advised to see the bigger picture.

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Dan Gallagher is a former columnist for The Wall Street Journal's Heard on the Street, where he covered the technology and media industries. His work for the Heard column spanned the businesses of artificial intelligence, semiconductors, internet, software, hardware, advertising, streaming TV and film. Dan also wrote WSJ's AI &...

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